



KSI Geo-Pressure Daily Evaluation Report Bilabri DX1 Prospect

Peak Equator Wellsite Geo-Pressure Report – Job # 1050402(W)

Date: Thursday, January 05, 2006

Time: 15:00

KSI Geopressure Analyst:

Chris H. Fletcher

Last shoe depth:

1529M

Current MD(TVD):

2528mMD (2410mTVD)

Current Pore Pressure:

9.7 ppg

Max Pore Pressure (ppg) in OPEN HOLE:

9.7 ppg

Current Fracture Gradient:

14.4 ppg

LOT:

12.4 ppg

Mud Weight in:

10.3 ppg

ECD

no data

Midnight depth/PP

2342m (2254m TVD)/9.2ppg

Current depth/PP

2528m (2410m TVD)/9.7ppg

12 hr. footage drilled at 12:00 hrs

186m (166m vertical)

Pore Pressure change

0.5 ppg

Analyst Confidence Level: 80% based on all observations

Cutting Morphology: PDC common

Caving Morphology: none

Hole Fill/ Tight Hole: none

Previous Rig Activity since midnight: Drilled from 2342m to 2528m.

Current Rig Activity: Drilling ahead at 2528m.

Rig plan activity (ahead - 24hrs): Drill ahead at 33deg inc and 190 deg azi.

PP monitoring

Pore pressure is assessed at 9.7ppg at 2528m (2410m TVD.) System is functioning within specification.

Drilling / LWD Performance:

Receiving log and survey data as required.

.Additional note/Comments:

Immediately prior to submitting the 6:00 AM report, a marked decrease in shale resistivity was observed, necessitating a change in the assessed pore pressure. The initial assessment submitted with the morning report seemed to be high, but there was no data in this well to contradict the calculated pore pressure. The offset Bilabri 1 well showed a similar decrease of shale resistivity in the same stratigraphic section. Subsequently, we have drilled to the base of this sand member, and have logged resistivity for the shale lamina separating the sand above from the sand we are currently drilling. Both sands are hydrocarbon saturated. Thus, the resistivity of the shale separating them may be influenced by this hydrocarbon saturation, and be slightly higher than would be observed if shale compaction were the only factor influencing its resistivity, thus calculating a lower shale pore pressure than actually exists.

ALERT

Pore pressure estimate has been lowered from this morning's report. PP is assessed at 9.7 ppg at this depth. At this depth, sand pressures are influenced more by hydraulic connection to other permeable members than shale pore pressure. It is anticipated that the next major shale member will be a pore pressure seal, and the effect of sand/shale centroid conditions will control pore pressure.

*Bilabri DX1 - 02 RT Resistivity PPFG

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